

EQUITY VALUATION MODEL

Dollarama Inc.

DOL.TO · Toronto Stock Exchange

Bottom-Up Forecast · DCF · Trading Comps · Scenario Analysis

IV / SHARE

\$153.35

vs Market \$193.26

26.03% Premium

Dipesh Khadka

Dollarama at a Glance

1,691

Canadian Stores

As at Feb 1, 2026

402

Australian Stores

TRS — acquired Jul 2025

732

Dollarcity Stores

LatAm — 60.1% owned

\$7.3B

FY2026 Revenue

Canadian dollars

30.0%

EBITDA Margin

vs peers 8–14%

30.9%

ROIC FY2026

vs WACC of 5.71%

8 Components. One Integrated Model.

01

Historical FS

11 years P&L, BS, CFS

02

WACC

OLS beta, CAPM, Kd

03

ROIC

Value creation framework

04

3-Segment Forecast

Canada + Australia + Dollarcity

05

DCF + FCFF

Integrated, mid-year convention

06

Sensitivity

5x5 WACC vs terminal growth

07

Trading Comps

5 peers as comps valuation

08

Football Field

Bear / Base / Bull

Three-Segment Forecast Bottom-Up Build

CANADA

Net New Stores / yr

67

ARPS Growth

4.91%

FY31E Stores

2,020

Primary growth engine — 5Y historical avg

AUSTRALIA

Net New Stores / yr

14

ARPS Growth

4.10%

Data Source

TRS ASX

Acquired Jul 2025 — 195 days FY26, full year FY27

DOLLARCITY

Ownership

60.1%

Method

OLS Regression

Annual Slope

\$63,045k

Equity-accounted — Latin American expansion

Revenue: FY26A \$7.3B → FY27E \$8.3B → FY31E \$11.6B | 5-Year CAGR: 9.8%

WACC = 5.71%

COST OF EQUITY

Risk-Free Rate (Rf)

Bank of Canada 10Y

3.58%

Beta (Blume-adjusted)

OLS regression, 5Y weekly

0.5762

Equity Risk Premium

Damodaran Jan 2026

4.23%

Cost of Equity

 $R_f + \beta \times ERP$ **6.02%**

COST OF DEBT

Interest Paid (CFS)

Long Term Debt + Lease
interest**\$213,603k**

Total Debt (incl. leases)

IFRS 16 included

\$5,396M

Pre-tax Kd

 $K_d > R_f \checkmark (+38bps)$ **3.96%**

Post-tax Kd

 $3.96\% \times (1 - 26.5\%)$ **2.91%**

$$WACC = (90\% \times 6.02\%) + (10\% \times 2.91\%) = 5.71\%$$

Intrinsic Value Per Share: \$153.35

+ PV of FCFFs (FY27–FY31) \$7.1B

+ PV of Terminal Value (85.2% of EV) \$40.4B

= **Enterprise Value** \$47.5B

+ Add: Cash & Equivalents \$332M

– Less: Net Debt (incl. IFRS 16) (\$5.4B)

= **Implied Equity Value** \$42.4B

÷ Diluted Shares Outstanding 276.7M

\$153.35

Intrinsic Value

Per share — CAD

\$193.26

Market Price *as of 25th June, 2026*

26.03%

Premium to IV

Market vs base case

Football Field Analysis



52-week range and DCF sensitivity bracket the current market price — comps confirm Dollarama commands a structural premium over peers.

Bear • Base • Bull

BEAR

\$97.18

Implied IV / share

−49.7% vs \$193.26

EPS FY31E: \$7.53

- 55 stores/yr Canada
- 3.0% ARPS growth
- \$40K Dollarcity slope
- WACC 6.5% | TG 1.2%

BASE

\$153.35

Implied IV / share

−20.6% vs \$193.26

EPS FY31E: \$8.73

- 67 stores/yr Canada
- 4.91% ARPS growth
- \$63K Dollarcity slope
- WACC 5.71% | TG 1.8%

BULL

\$277.85

Implied IV / share

+43.8% vs \$193.26

EPS FY31E: \$10.21

- 80 stores/yr Canada
- 7.0% ARPS growth
- \$90K Dollarcity slope
- WACC 5.0% | TG 2.5%

What the Model Tells Us

01

Modest Overvaluation at Current Prices

Base case IV of \$153.35 implies a 26.03% premium at \$193.26. DCF sensitivity range of \$124–\$192 brackets the market price — suggesting investors are pricing the upper end of reasonable assumptions.

02

Quality Premium is Real — But Already Priced In

30% EBITDA margin vs peer average of 8–14% justifies a 2x EV/EBITDA premium. At 25.4x vs peer median 11.9x, the premium is real but largely reflected in the current price.

03

Upside Optionality from International Expansion

Bull case IV of \$277.85 (+43.8%) is achievable if Dollarcity accelerates LatAm expansion and TRS integration succeeds. The market appears to price a scenario between Base and Bull.

ROIC 30.9% vs WACC 5.71% — Dollarama creates exceptional economic value. The question is whether \$193.26 is the right price to pay for it.

Thank you

Built a full equity valuation model on Dollarama Inc. (DOL.TO) — bottom-up 3-segment revenue forecast, DCF, OLS beta, trading comps, and scenario analysis. IV: \$153.35 vs market \$193.26 — 26.03% premium

CONTACT

Dipesh Khadka

dkhadka.acct@gmail.com

linkedin.com/in/dipesh07

IV / SHARE

\$153.35

MARKET PRICE

\$193.26

WACC

5.71%

ROIC FY2026

30.9%